

Year	Number of times interest earned	Market range for the bonds
1919	2.62	105 ¹ / ₂ –97
1920	3.03	97 ¹ / ₂ –93
1921	4.39	87–86 ¹ / ₄
1922	2.39	115–93 ¹ / ₄
1923	3.46	105–95
1924	4.37	104–97
1925	3.85	106 ¹ / ₄ –106 ¹ / ₄
1926	3.96	108–105
1927	3.36	108 ³ / ₄ –108 ¹ / ₂
1928	Bonds called at 110	

As a result of this arrangement the bondholders not only received 10% of all cash dividends paid on the Spanish River Co. Preferred and Common until the bonds were retired in 1928, but they also received 10% of the Preference Stock issued in July 1920 as a 42% stock dividend to liquidate accruals on the preferred stock.

The investment quality of these bonds subsequent to 1918 is indicated by the figures shown above.

NOTE 41

The technique of an intermediate hedging operation is illustrated by the following transactions made in 1918–1919, involving the purchase of a \$1,000 Pierce Oil Corp. 6% Note, due 1920 and the sale of common stock against it. The Pierce Oil note was convertible at any time into 50 shares of common stock. (Accrued interest on the note is excluded.)

Date	Purchase	Range for month	Sale	Range for month
Oct. 1918	1M 6% note at 100 ¹ / ₂ = \$1,008	99 ¹ / ₂ –101 ¹ / ₂	25 common at 19 = \$ 470	16 ¹ / ₄ –19 ¹ / ₈
Dec. 1918	25 common at 16 = \$ 403	15 ³ / ₄ –17		
Jan. 1919			25 common at 19 = \$ 470	16–19 ³ / ₈
May 1919			25 common at 28 = \$ 696	24 ³ / ₄ –28 ⁵ / ₈
Dec. 1919	50 common at 17 ¹ / ₂ = \$ 881	17–20 ⁵ / ₈	1M note at 100 = \$1,000	Called at 100
	\$2,292		\$2,636	
Profit	\$ 344			